

Cambridge Assessment
International Education

Cambridge International AS & A Level
ECONOMICS

Paper 1 AS Level Multiple Choice (Moderate)

9708/11
Practice Paper
1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

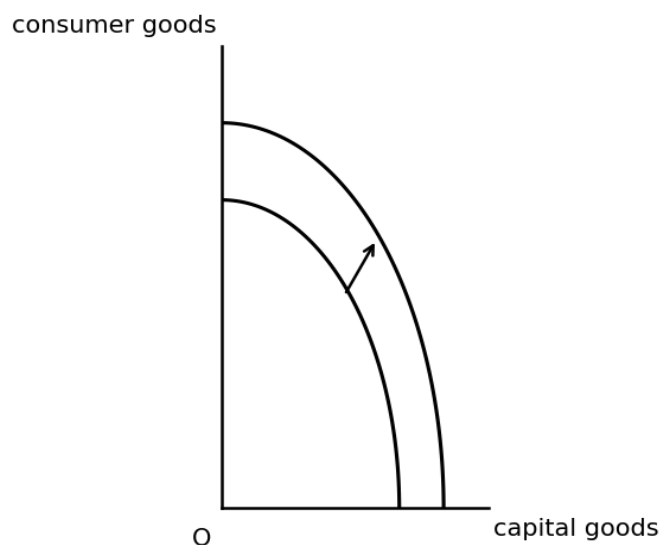
INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.

Practice paper – Moderate difficulty **[Turn over**

- 1 Which statement is a positive statement?
- A The government should reduce income tax rates to boost economic growth.
 - B Increasing the minimum wage will reduce unemployment among young workers.
 - C Inflation rose from 2.1% to 3.4% in the country between 2022 and 2023.
 - D The central bank ought to lower interest rates to support consumers.
- 2 A baker uses flour, a mixing machine and her own time to produce bread.
Which combination correctly identifies the factors of production she uses?
- A flour – capital; mixing machine – capital; her time – labour
 - B flour – land; mixing machine – capital; her time – labour
 - C flour – land; mixing machine – land; her time – enterprise
 - D flour – labour; mixing machine – capital; her time – enterprise
- 3 Which characteristic best describes a pure public good?
- A It is provided only by the private sector.
 - B It is non-rival and non-excludable in consumption.
 - C It is consumed only by low-income groups.
 - D It generates negative externalities when consumed.
- 4 The diagram shows a production possibility curve (PPC) shifting outwards.



What is most likely to have caused this shift?

- A an increase in unemployment
- B an improvement in technology
- C an increase in consumer demand
- D a fall in producer profits

- 5 A student gives up a part-time job paying \$200 per week to study full-time at university. Tuition costs \$150 per week and books cost \$40 per week.

What is the weekly opportunity cost of studying?

- A \$190
- B \$200
- C \$390
- D \$590

- 6 Tea and coffee are substitute goods.

What would cause the demand for coffee to increase?

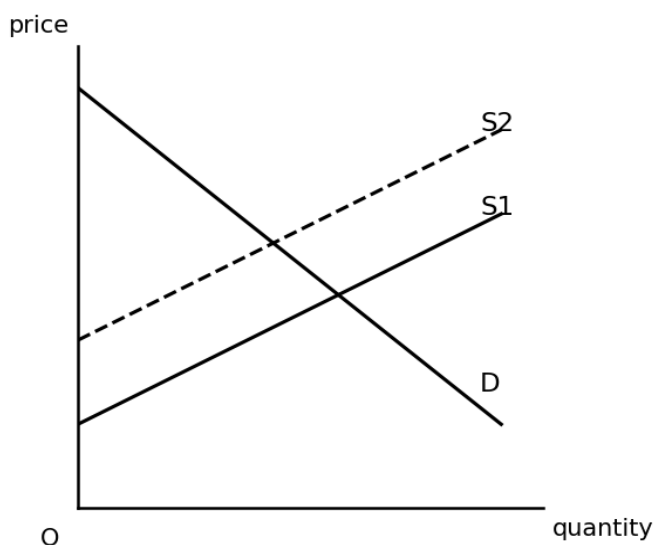
- A an increase in the price of coffee
- B an increase in the price of tea
- C a decrease in consumer incomes (if coffee is a normal good)
- D a decrease in the cost of producing coffee

- 7 The price of a product rises from \$10 to \$12 and the quantity demanded falls from 100 units to 90 units.

What is the price elasticity of demand (using the original values)?

- A -0.20
- B -0.50
- C -2.00
- D -5.00

- 8 The diagram shows the market for a product. The supply curve shifts from S1 to S2.



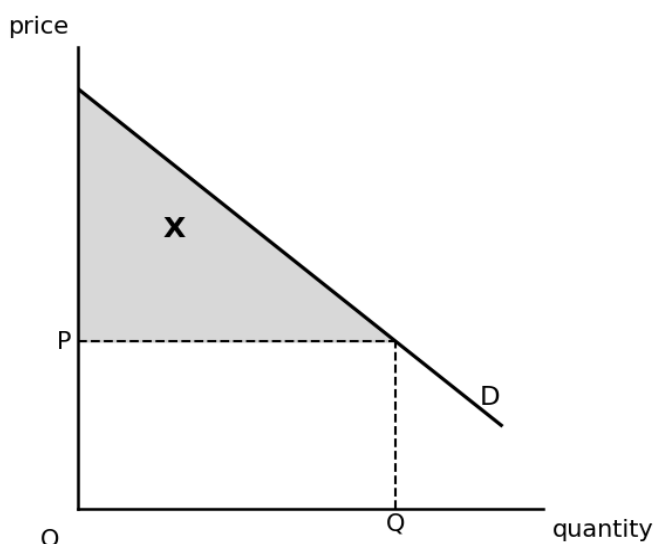
Which of the following could have caused this shift?

- A an improvement in production technology
- B a decrease in the wages of workers in the industry
- C an increase in indirect taxes on the product
- D an increase in the number of firms supplying the product

- 9 When consumer income rises by 10%, the demand for a good falls by 5%.

What does this indicate about the good?

- A It is a normal good with income elasticity of 0.5.
 - B It is a normal good with income elasticity of 2.0.
 - C It is an inferior good with income elasticity of -0.5 .
 - D It is an inferior good with income elasticity of -2.0 .
- 10 The cross elasticity of demand between good X and good Y is -1.5 .
- What does this suggest?
- A X and Y are weak substitutes.
 - B X and Y are strong substitutes.
 - C X and Y are weak complements.
 - D X and Y are strong complements.
- 11 The diagram shows the demand curve for a product. Area X represents the consumer surplus at price P.



What is likely to increase area X?

- A a decrease in the price of the product
 - B an increase in the price of the product
 - C an increase in indirect tax on the product
 - D a decrease in consumer incomes (if the good is normal)
- 12 A government imposes a maximum price below the equilibrium price in the housing rental market.
- What is the most likely consequence?
- A an increase in the quantity of rental housing supplied
 - B a fall in the demand for rental housing
 - C the emergence of a shortage of rental housing
 - D an increase in revenue for landlords

- 13** A specific tax is imposed on a good that has perfectly inelastic demand.
Who bears the burden of the tax?
- A** It is shared equally between consumers and producers.
 - B** It falls entirely on consumers.
 - C** It falls entirely on producers.
 - D** The burden depends on the elasticity of supply.
- 14** Why are merit goods likely to be underconsumed in a free market?
- A** They are too expensive for most consumers to afford.
 - B** Consumers underestimate the private and external benefits of consumption.
 - C** Producers do not have the resources to supply enough of them.
 - D** They are non-rival and non-excludable in consumption.
- 15** The Consumer Prices Index (CPI) in a country was 120 in 2022 and 126 in 2023.
What was the rate of inflation in 2023?
- A** 5.0%
 - B** 5.3%
 - C** 6.0%
 - D** 26.0%
- 16** Which is most likely to cause cost-push inflation?
- A** an increase in consumer confidence
 - B** an increase in the price of imported oil
 - C** an increase in government spending
 - D** an increase in money supply
- 17** In the circular flow of income, which item is classed as an injection?
- A** consumer spending on imports
 - B** household saving
 - C** investment by firms
 - D** taxes paid to the government
- 18** A country's nominal GDP increased by 8% in a year. The inflation rate during the year was 3%.
What was the approximate change in real GDP?
- A** -5%
 - B** +3%
 - C** +5%
 - D** +11%
- 19** Which component is not part of aggregate demand?
- A** consumption
 - B** imports
 - C** government spending
 - D** savings

- 20** Which action by the government would represent an expansionary fiscal policy?
- A** an increase in interest rates
 - B** a reduction in the money supply
 - C** an increase in government spending on infrastructure
 - D** an increase in the rate of value added tax (VAT)
- 21** A central bank raises interest rates.
Which is the most likely effect on the economy?
- A** an increase in consumer borrowing
 - B** an increase in business investment
 - C** a decrease in aggregate demand
 - D** an increase in the rate of inflation
- 22** Which is an example of a supply-side policy?
- A** an increase in government spending on welfare benefits
 - B** a reduction in interest rates by the central bank
 - C** investment in education and worker training
 - D** an increase in indirect taxes on consumption
- 23** A worker is made redundant because their employer has introduced new automated machinery that does their job.
What type of unemployment is this?
- A** cyclical
 - B** frictional
 - C** seasonal
 - D** structural
- 24** Which item is recorded as a credit on the current account of the balance of payments?
- A** imports of manufactured goods
 - B** payments of interest to foreign lenders
 - C** earnings from tourists visiting the country
 - D** purchase of foreign shares by domestic citizens
- 25** Which is most likely to cause a current account deficit to widen?
- A** a fall in domestic inflation relative to trading partners
 - B** a depreciation of the country's currency
 - C** an increase in productivity of domestic firms
 - D** a rapid increase in domestic consumer incomes
- 26** Country P can produce 20 units of wheat or 10 units of cloth per worker per day. Country Q can produce 8 units of wheat or 6 units of cloth per worker per day.
Which statement is correct?
- A** Country P has a comparative advantage in cloth.
 - B** Country Q has a comparative advantage in cloth.
 - C** Country P has a comparative advantage in both goods.
 - D** Neither country has a comparative advantage.

- 27** The exchange rate of a country's currency appreciates.
What is the most likely effect?
- A** Exports become cheaper to foreign buyers.
 - B** Imports become more expensive in domestic currency.
 - C** Domestic inflation is likely to fall.
 - D** Tourism into the country increases.
- 28** A government imposes a tariff on imported steel.
Which is the most likely effect?
- A** Consumer surplus for domestic steel users increases.
 - B** Domestic steel producers lose market share.
 - C** The price of steel in the domestic market rises.
 - D** Government revenue from steel imports falls.
- 29** Which is not an argument in favour of trade protection?
- A** to protect infant industries
 - B** to safeguard domestic employment
 - C** to allow consumers wider choice and lower prices
 - D** to retaliate against unfair trading practices
- 30** A country's index of export prices rises from 100 to 110, while its index of import prices rises from 100 to 105.
What has happened to the country's terms of trade?
- A** improved by 4.8%
 - B** improved by 5.0%
 - C** worsened by 4.8%
 - D** worsened by 5.0%

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